CASCADIA ANALYTICS

Valero Energy Corporation

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Cyclical Peak Earnings

Valero Energy screens as a Hold with a $407.13 blended target, 4% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$426.28	$407.13	-4%	HOLD

Investment Thesis

Cyclical Peak Earnings. Q3 2026 crack spreads reached extraordinary levels on Russian and Middle Eastern refining disruptions. JPMorgan estimates Valero pretax of $8.95B (+50% QoQ). The stock gained 49% in Q3 alone [Mkt Oct-26]. Best Operator in Refining. 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total [8-K Q2 2026]. Priced for the Cycle. At $426.28 [Mkt 16-Oct-26], the stock

- Cyclical Peak Earnings
- Best Operator in Refining
- Priced for the Cycle

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The latest print

Best Operator in Refining. 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total.

Priced for the Cycle. At $426.28, the stock sits between our $400.46 DCF base and $584.69 bull case. NTM P/E of 9.4x is a classic peak-earnings multiple. This is a trade on margin duration, not a compounder.

$44.5B	$3.72B	8.36%	97%	$122.7B	$2.35B
REVENUE (Q2 2026)	NET INCOME (Q2 2026)	NET MARGIN (Q2 2026)	REFINERY UTILIZATION	REVENUE (FY25)	NET INCOME (FY25)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$44.5B	+38%	Up
Net Income (Q2 2026)	$3.72B	+340%	Up
Net Margin (Q2 2026)	8.36%	+6.4 pts	Up
Refinery Utilization	97%	Record	Up
Revenue (FY25)	$122.7B	-5.5%	Down
Net Income (FY25)	$2.35B	-15.2%	Down
Net Margin (FY25)	1.91%	-0.2 pts	Down

The moat

97% refinery utilization; Gulf Coast and North Atlantic throughput records

The growth engine

Crack spreads at extraordinary levels on Russian/Middle East disruptions

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	-2.0%	$122.15B	4.9%	**$242.92**	-43%
Base	50%	-0.3%	$130.85B	7.8%	**$400.46**	-6%
Bull	25%	2.0%	$143.35B	10.6%	**$584.69**	+37%

Bear: downside case at $242.92 (-43%).

Base: central case at $400.46 (-6%).

Bull: upside case at $584.69 (+37%).

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The probability-blended target implies 4% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -4% from the $426.28 reference price.

$407.13
BLENDED TARGET

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The valuation uses a five-year detailed EBIT bridge (FY2026-2030): revenue to EBIT to cash taxes at 25%, plus D&A, less capex and working-capital investment to reach unlevered free cash flow. The discount rate is a weighted WACC of 6.77%: the live CAPM cost of equity (10-year Treasury plus a 0.56 beta times the market-implied equity risk premium) blended with an after-tax cost of debt (10-year plus 150 basis points, taxed at 21%) at market weights. The 2026-10-22 forensic audit removed a flat addition of 200 basis points that sat inside the WACC formula with no documented basis; every tab of the workbook was searched and no refining-risk premium or other support for the addition exists, so the published rate is now the documented build alone. Removing the addition on its own lifts the Base target by 29.9%. The beta is static at 0.56, so the terminal WACC equals the 6.77% live WACC; terminal beta and terminal WACC are displayed on the scenario tabs.

Terminal value is struck on a normalized terminal year. The bridge previously charged capex at 1.3% of revenue in every year including the terminal year, against D&A of 2.1% of revenue and filed depreciation alone of 1.9% of FY2025 revenue, so the terminal asset base shrank while the Gordon formula capitalized the flow. Valero's filed capex-to-depreciation ratio ran between 1.01x and 2.41x in every year from FY2018 to FY2024 (median 1.52x), and Marathon Petroleum printed 1.07x in FY2025. At the model's 0% terminal growth the steady state requires capex equal to D&A, a ratio of 1.00x at the floor of the filed evidence, so 2030 capex is now set at the D&A level of 2.1% of revenue; the explicit years 2026-2029 are unchanged. The normalization on its own lowers the Base target by 8.7%; together with the WACC correction the Base target is $400.46.

Revenue base (2026E)	**$132.43B**
Valuation horizon	**2026-2030**
Live WACC	**6.77%**
Terminal growth	**0.0%**
Net debt	**$1.23B**
2030 FCF (Base)	**$7.66B**
10-year Treasury yield	**5.0%**
Beta	**0.56**
Equity risk premium	**3.5%**

HOLD | $407.13 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is -0.3%, at/above Base (-0.3%) — constructive.

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Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$85.7B	$293.37	+10%	$177.5B	$612.28	+30%	$331.8B	$1,148.18
-9%	$89.1B	$305.30	+11%	$183.6B	$633.29	+31%	$341.6B	$1,182.10
-8%	$92.7B	$317.59	+12%	$189.8B	$654.84	+32%	$351.5B	$1,216.79
-7%	$96.3B	$330.27	+13%	$196.1B	$676.95	+33%	$361.7B	$1,252.25
-6%	$100.1B	$343.34	+14%	$202.7B	$699.63	+34%	$372.2B	$1,288.49
-5%	$104.0B	$356.80	+15%	$209.3B	$722.89	+35%	$382.8B	$1,325.53
-4%	$107.9B	$370.68	+16%	$216.2B	$746.74	+36%	$393.7B	$1,363.37
-3%	$112.1B	$384.96	+17%	$223.3B	$771.18	+37%	$404.9B	$1,402.03
-2%	$116.3B	$399.67	+18%	$230.5B	$796.24	+38%	$416.2B	$1,441.51
-1%	$120.6B	$414.81	+19%	$237.9B	$821.91	+39%	$427.8B	$1,481.84
+0%	**$125.1B**	**$430.38**	+20%	$245.4B	$848.21	+40%	$439.7B	$1,523.02
+1%	$129.7B	$446.41	+21%	$253.2B	$875.16	+41%	$451.8B	$1,565.07
+2%	$134.5B	$462.89	+22%	$261.1B	$902.75	+42%	$464.2B	$1,608.00
+3%	$139.4B	$479.84	+23%	$269.3B	$931.00	+43%	$476.8B	$1,651.81
+4%	$144.4B	$497.27	+24%	$277.6B	$959.93	+44%	$489.7B	$1,696.53
+5%	$149.5B	$515.17	+25%	$286.1B	$989.53	+45%	$502.8B	$1,742.16
+6%	$154.8B	$533.57	+26%	$294.8B	$1,019.83	+46%	$516.2B	$1,788.72
+7%	$160.3B	$552.47	+27%	$303.8B	$1,050.83	+47%	$529.9B	$1,836.21
+8%	$165.9B	$571.89	+28%	$312.9B	$1,082.55	+48%	$543.8B	$1,884.66
+9%	$171.6B	$591.82	+29%	$322.2B	$1,115.00			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$71.16B	—	0.0%	-$1.23B	$69.94B	**$242.92**
Base	$116.52B	—	0.0%	-$1.23B	$115.29B	**$400.46**
Bull	$169.56B	—	0.0%	-$1.23B	$168.33B	**$584.69**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 69.9% of Base enterprise value (Bear 68.1%, Bull 71.4%). The terminal WACC is 6.77% in Base (Bear 6.77%, Bull 6.77%), on a terminal beta of 0.56 (Bear 0.56, Bull 0.56).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$242.92	$259.37	$256.31	$251.87	$247.56	$243.39
Base	$400.46	$427.57	$425.33	$421.54	$417.59	$413.48
Bull	$584.69	$624.27	$624.93	$623.44	$620.97	$617.44

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $407.13 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

97% refinery utilization; Gulf Coast and North Atlantic throughput records

Crack spreads at extraordinary levels on Russian/Middle East disruptions

Low-cost Gulf Coast footprint with scale advantage over smaller refiners

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$114B	$176B	$144B	$130B	$123B
Net Margin	0.9%	6.5%	6.1%	2.1%	1.9%
Throughput (Mbpd)	2.85	2.96	3.02	2.95	3.00

Valuation cross-check

NTM P/E 9.4x

DCF Base $400.46 vs $426.28 spot

PEG 1.91

Low P/E reflects peak earnings. DCF implies 6% downside to base; bull case $584.69 is the upside bound.

MPC, PSX similar single-digit NTM P/E

In line with refining peers; the whole group is priced for peak margins.

Trading at the high end of historical price range

Typical late-cycle positioning: price highs coincide with earnings highs.

What to monitor

Oct/Nov 2026. Q3 2026 Earnings: JPMorgan estimates pretax $8.95B (+50% QoQ). Expectations are sky-high.

2026-2027. Diesel crack spreads and refinery outage duration determine margin persistence.

2027. Renewable diesel and low-carbon projects diversify the earnings base.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$176.4B	$16.8B	$15.8B	$18.3B
2023	$144.8B	$12.9B	$11.9B	$15.1B
2024	$129.9B	$4.8B	$3.8B	$7.0B
2025	$122.7B	$5.4B	$4.3B	$6.7B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$61.0B	$35.5B	$23.6B	$4.9B
2023	$63.1B	$34.5B	$26.3B	$5.4B
2024	$60.1B	$32.6B	$24.5B	$4.7B
2025	$58.0B	$31.4B	$23.7B	$4.7B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$12.6B	$-1.7B	$-8.8B	$10.9B
2023	$9.2B	$-911M	$-6.9B	$8.3B
2024	$6.7B	$-907M	$-5.0B	$5.8B
2025	$5.8B	$-796M	$-4.2B	$5.0B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $407.13 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.42% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $5.68M of sales, a net flow of -$5.68M. One-year total shareholder return is +152.3% against CEO total pay of $7.63M (Mr. R. Lane Riggs), which the model scores as PERFORMANCE EARNED.

42
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.42% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $5.68M (3), net -$5.68M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +152.3%; Mr. R. Lane Riggs, CEO, President & Chairman, total pay $7.63M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-06-29	Fisher Eric A	Officer	SELL	7,500	$2.01M
2026-06-18	Fisher Eric A	Officer	SELL	7,500	$1.78M
2026-05-18	Fisher Eric A	Officer	SELL	7,500	$1.89M

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SEC proxy audit, DEF 14A filed 2026-03-19

Alignment grade B. DATA NOT IN EXCERPT. R. Lane Riggs, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided proxy filing excerpt cuts off before the Summary Compensation Table and CD&A pay disclosure tables. Operational and financial highlights indicate strong 2025 performance, including diluted EPS of $7.57, record refinery mechanical availability, and $4.0 billion in capital returned to stockholders. However, exact executive compensation figures and committee pay-for-performance outcomes cannot be quantified from this section alone.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1035002/000162828026019806/vlo-20260318.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Margin Mean-Reversion

Crack spreads are mean-reverting; current diesel margins are described as extraordinary and will normalize.

Operational Volatility

Refinery outages, hurricanes, and regulatory changes can swing quarterly results violently.

Energy Transition

Long-term demand erosion from EVs and renewable fuels pressures the terminal value.

The strengths

Operating Quality

Best-in-class US refiner with scale and Gulf Coast cost advantage. But refining is deeply cyclical: FY25 net margin was 1.9%. Quality is relative to a tough industry.

Recent Trend

Crack spreads exploded in Q3; stock +49% in the quarter. Q2 net income of $3.72B was 4x the full FY25 total. The cyclical upswing is violent.

Forward Growth

Refining is not a growth industry; this is a margin cycle, not structural expansion. High margins eventually attract supply response or demand destruction.

Valuation

At $426.28 vs $400.46 DCF base, the stock is 30% above fair value but below the $584.69 bull case. NTM P/E 9.4x looks cheap only because earnings are at a cyclical peak.

Cascadia scorecard

Composite score 66: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Best-in-class US refiner with scale and Gulf Coast cost advantage. But refining is deeply cyclical: FY25 net margin was 1.9%. Quality is relative to a tough industry.	70
Recent Trend	Crack spreads exploded in Q3; stock +49% in the quarter. Q2 net income of $3.72B was 4x the full FY25 total. The cyclical upswing is violent.	95
Forward Growth	Refining is not a growth industry; this is a margin cycle, not structural expansion. High margins eventually attract supply response or demand destruction.	50
Valuation	At $426.28 vs $400.46 DCF base, the stock is 30% above fair value but below the $584.69 bull case. NTM P/E 9.4x looks cheap only because earnings are at a cyclical peak.	55
Catalysts & Risk	Q3 earnings should be a record, but expectations are now sky-high. Margin mean-reversion is the dominant risk. Geopolitical disruptions cut both ways. Neutral skew at best.	60

Investment view

A faster-than-expected margin collapse would cut Trend and Valuation sharply. Prolonged diesel tightness into 2027 supports the bull case.

Investment view: Hold. The $407.13 blended target implies -4%, balancing the $242.92 / $400.46 / $584.69 Bear / Base / Bull outcomes.

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